

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

The royalty fee is for the right to use IP in Hong Kong by Q1, alternatively Q1 may have claimed the royalty fee expense as deductible in computing its assessable profits. Either way will render the royalty fee income deemed to be arising in or derived from Hong Kong by a business carried on in Hong Kong by K Limited under s.15(1)(b) or s.15(1)(ba) of the IRO.

The assessable profits is deemed to be 30% of the gross receipt (i.e. \$1,000,000 for the year of assessment 2020/21) under s.21A of the IRO, as Q1 and K Limited are unrelated parties.

Under s.20B of the IRO, Q1 as payer of the royalty fee is obliged to withhold the profits tax before making payment to K Limited. Q1 is also required to file profits tax return for K Limited, and paid profits tax for K Limited out of the money previously withheld.

Answer 1(b)

In terms of correct application of preferential withholding rate under the double tax agreement ["DTA"]:

In order for K Limited to enjoy the preferential withholding rate of 3%, K Limited has to demonstrate it is a tax resident company in Country X, meaning it is liable to tax in Country X by reason of its domicile, residence, place of management or any other criterion of a similar nature. K Limited should obtain a tax residency certificate issued by the competent authority to substantiate its identity and tax residency status.

Q1 should review the licensing agreement to ensure that the nature of the royalty fee paid falls under the definition of royalty as defined in the DTA, and therefore the application of the preferential withholding tax rate on the income is within the coverage of the DTA.

Q1 should also verify whether K Limited is the beneficial owner of the royalty fee, and hence the limitation of benefit clause in the DTA will not deny the treaty benefit.

In terms of information to provide to K Limited to allow its proper compliance of tax obligations and tax credit relief claim:

Evidence for payment of royalty fee to K Limited showing the date of payment, gross payment amount, amount of tax withheld, and net amount paid.

Copy of Hong Kong profits tax return filed to the IRD showing the name of K Limited as the taxpayer and Q1 as the tax withholding agent, the basis of calculation of the assessable profits and the amount of assessable profits reported.

Copy of the profits tax assessment issued by the IRD showing the name of K Limited as the taxpayer and Q1 as the tax withholding agent, the amount of assessable profits assessed, the applicable tax rate and the amount of profits tax payable.

Evidence of tax payment including cheque copy/ bank remittance confirmation and tax payment receipt issued by the IRD.

Answer 2(a)

S.14 of IRO exempts from profits tax gains from sale of capital assets. If the business of engineering department is capital asset, the gain from sale of which is capital in nature and not subject to profits tax. On the other hand, if the gain is from sale of revenue assets and hence derived from the ordinary course business of Q1, it is subject to profits tax.

The question of whether an asset is capital or revenue depends on the circumstances of each case. In general capital comprises those assets that are used in the production of profits, or are held otherwise than as the stock-in-trade of the taxpayer.

The following information from the case can support the capital nature of the gain:

The disposal involves the entire business of the engineering department, it is the core of Q1's profit generating structure that house the valuable business resources (engineers, business know-how, customer relationship, etc.).

Over the past 20 years, the founders are dedicating their full efforts in developing and running Q1's business including the engineering department, there is no reason to believe that the above is done on a recurring basis with the intention to earn a business sale profit.

The engineering business is long-lasting and has been in place for over 20 years, there is no indication that Q1 is actively creating and nurturing new business for sale at a profit.

The value of the engineering business should constitute a majority of the total value of Q1 business, in the eyes of Q1 the engineering business is its capital asset.

Answer 2(b)

Whether a company is carrying on a business in Hong Kong is a matter of fact, place of incorporation is irrelevant. Lack of business registration as required under the Hong Kong law does not positively confirm no business is carried on in Hong Kong.

Q2's core income generating activities include securing of new customers service contracts, delivery of testing service at client sites, writing report by engineers at home, coordination of work and training via online platform, and remote operation of the Singapore bank account. These business activities are done by people (Jerry and the team of engineers) based in Hong Kong.

On the other hand, based on the facts provided there are no meaningful business activity conducted by Q2 outside Hong Kong.

In light of the above, Q2 is carrying on a business in Hong Kong.

According to case laws, in determining the source of profit, the broad guiding principle is one looks to see what the taxpayer has done to earn the profit in question and where he has done it. For profit earned from provision of service, we should focus on the location where the service is rendered.

Based on the above, Q2's core income generating activities are all conducted by the director and its employees in Hong Kong, it follows that Q2's profit is arising in or derived from Hong Kong.

Answer 3(a)

After the restructuring, the business role of the administrative department to be executed by the mainland entity is to provide business administrative support service to the engineering department of Q1.

The mainland entity being the service provider will equip itself with the resources (people, office space, infra-structure, working capital, etc.) enabling itself to deliver the service.

The mainland entity should be remunerated for the service provided by charging Q1 an arm's length service fee commensurate with the efforts put in, risk taken and value created.

This will allow the mainland entity to earn an arm's length profit and maintain a healthy and sustainable financial position in the long run.

Given the nature of the business administrative service is low-risk, not complex and routine in nature, it is appropriate for the mainland entity to charge an intra-group service fee to Q1 based on the total costs it incurred in the course of provision of service, plus a reasonable mark-up to be determined by a transfer pricing study.

The resale price method is based on the price in which a product that has been purchased from a related party is then re-sold to an independent party. The resale price is reduced by a resale price margin representing an appropriate profit to the reseller. This method is not useful here because the mainland entity does not involve in the purchasing and reselling of product.

Answer 3(b)(i)

Before restructuring

Profits tax liability of Q1 for the year of assessment

2020/21 = \$12,000,000 x 16.5% = \$1,980,000

After restructuring

	Q1 Operation	Mainland entity Operation	Combined Operation
	\$	\$	\$
Revenue – note A	24,000,000	2,530,000	
Business expenses – note B	(8,700,000)	(2,300,000)	
Service fee – note C	<u>(2,530,000)</u>		
		=	
Taxable profit	12,770,000	230,000	
Taxation 16.5%/25%	<u>(2,107,050)</u>	<u>(57,500)</u>	
Profit after tax	10,662,950	172,500	
Dividend withholding tax - note D		<u>(8,625)</u>	
	=		
After-tax earnings to shareholders – note E	10,662,950	163,875	10,826,825
After-tax earnings to shareholders - Before restructuring – note F			<u>10,020,000</u>
Net benefit from restructuring – note G			806,825

A = \$2,300,000 x 110% = \$2,530,000

B = \$3,300,000 - \$1,000,000 = \$2,300,000

C = Being service fee to mainland entity

D = \$172,500 x 5% = \$8,625

E = \$10,662,950 + \$163,875 = \$10,826,825

F = \$12,000,000 - \$12,000,000 x 16.5% = \$10,020,000

G = \$10,826,825 - \$10,020,000 = \$806,825

As there is a net benefit from restructuring of \$806,825, the restructuring has resulted in an overall benefit to the shareholders.

Answer 3(b)(ii)

The increase of service fee charged to Q1 by the mainland entity will affect the net benefit from restructuring in the following manner:

- Q1 will get additional Hong Kong tax deduction for service fee to the mainland entity. As long as Q1 will remain profitable and the IRD does not challenge the reasonableness of the service fee, Q1's Hong Kong profits tax liability will reduce, this will increase the net benefit.
- The profit of the mainland entity will increase, resulting in higher amount of corporate income tax and dividend withholding tax expense, this will reduce the net benefit.
- Combining the above 2 effects, overall the net benefit will reduce as the benefit of Hong Kong profits tax reduction is only increasing at the rate of 16.5%, whilst the mainland tax costs are increasing largely at the rate of 25%.

Answer 3(c)

Advance Pricing Arrangement ("APA") can be considered by Q1 and the mainland entity for managing this risk.

APA is an arrangement that determines, in advance of controlled transaction (i.e. the service fee arrangement between Q1 and the mainland entity), an appropriate set of criteria for the determination of the transfer price for this transaction over a fixed period of time.

A bilateral APA allows Q1 and the mainland entity to reach agreements with the IRD and the China tax bureau on the transfer pricing methodology as the issues arise rather than years later under investigation or tax audit. APA helps to prevent costly and time-consuming transfer pricing audit and litigation.

APA is most suitable for complex transactions with high transfer pricing risk such as those with few comparables can be found, a significant amount of tax is involved, or significant profits are shifted out of Hong Kong/ mainland. However, none of these features exist in our case and therefore APA would not be a cost-effective method to manage the above risk.

Answer 4

According to para 620.4.1 of the Guidelines on Anti-Money Laundering and Counter-Terrorist Financing for Professional Accountants (written in accordance with the requirements on professional accountants imposed under AMLO), the firm should assess the ML/TF risks of individual clients when evaluating their clients during the acceptance stage. Customer Due Diligence ["CDD"] procedure must be conducted in the course of client acceptance.

After Jerry has become a Legco member, he will be a foreign Politically Exposed Persons ["PEP"]. PEP is defined under the AMLO as "an individual who is or has been entrusted with prominent public function in a place outside the PRC. "

PEP is considered as high-risk client, the client acceptance should be subject to enhanced CDD procedures which must include (1) obtaining the approval of the senior management to commence the relationship; and (2) taking reasonable measures to establish the clients' source of wealth and of the funds that are or will be involved in the business relationship [para 620.12.1 refers].

The fact that Jerry will receive consultancy fee from overseas contractors bidding for government contracts will be a red flag indicator, indicating possible bribery activities with the illicit funds disguised as business consultancy fee. Even if the client acceptance has gone through, the firm should perform ongoing monitoring on this account to make sure proper decision (termination of client relationship, suspicious transaction reporting, etc.) is made on time based on risk assessment result.

Marks will be awarded if the discussion does not touch on PEP but on risk management or other relevant issues relating to Jerry's personal profile and new role, level of corruption in Country Y, sensitive business relationship with contractors, possible suspicious transaction after taking up the new role, impact on firm reputation, etc.

In preparing the service proposal for the tax engagement pursuit, the firm should observe the requirements outlined in s.600 "Ethics in Tax Practice" of Chapter C "Additional Ethical Requirements" in the Code of Ethics for Professional Accountants (Revised Nov 2018) published by HKICPA.

The following areas in the draft service proposal have violated the above requirements, they should be brought up in the partner discussion:

The statement that Jerry is not holding any prominent public functions in Hong Kong and overseas is not in line with the background of this pursuit and is clearly incorrect. This behaviour of deliberate avoidance of knowledge of the fact (or wilful blindness) is contrary to the requirement of integrity and professionalism for a professional accountant.

Though the offshore claim has put forward the best tax filing position in favour of Jerry, without studying the background and underlying facts before confirming this tax filing position, there is no evidence of professional competence in early arriving at this confirmation. Also, this confirmation is arrived only after payment of service fee, which indicates lack of integrity and objectivity in the tax analysis process.

The firm has assured to Jerry the tax filing position will be accepted by the IRD and without challenge within 6 years, this is contrary to the requirement that Jerry should be aware of the fact that the tax return prepared is not beyond challenge.

The firm should ensure that the tax return is properly prepared based on information received from Jerry, and that the information is correct and appears to be reasonable. The suggestion of producing favourable information/ documents by the firm in order to support the tax filing position adopted has violated the above requirement.

Further the language of "think out of the box and be creative" seems to indicate that false or misleading information/ documents can be produced by the firm to the extent that they can support the tax filing position. This is clearly unacceptable.

Instead of the firm taking up the responsibility for the content of the tax return, the firm should highlight to Jerry that this responsibility should rest with Jerry.

Choose any 3, marks will be awarded for other reasonable issues worth discussing with partner on engagement acceptance.

* * * END OF SECTION A * *

SECTION B – WRITTEN QUESTIONS (Total: 50 marks)

Answer 5(a)

Under s.41(1) of the IRO, an individual aged 18 or above, and either ordinarily resident in Hong Kong or a temporary resident is eligible for election of personal assessment. Starting from the year of assessment 2018/19, a married taxpayer who meets the age and residence requirements may elect for personal assessment on his or her own. S.41(1A) of the IRO provides that a married taxpayer not living apart from his/ her spouse and where both of them have income assessable to tax and either one or both of them meet the age and residence requirements under s.41(1), may elect for personal assessment jointly with his or spouse.

Following *Leung Chun Kwong v Secretary for the Civil Service* (2019) 22 HKCFAR 127, a married taxpayer also refers to a same-sex married taxpayer.

Mr Johnson is a British, who resided and worked in England during the year of assessment 2019/20. He was not ordinarily resident in Hong Kong for the year of assessment 2019/20.

Mr Johnson did not visit Hong Kong before 1 July 2019 and for the period from 1 October 2019 to 31 March 2021. For the year of assessment 2019/20, Mr Johnson was only in Hong Kong for a visit for 92 days for the period from 1 July 2019 to 30 September 2019. Mr Johnson did not stay in Hong Kong for a period totaling more than 180 days during the year of assessment 2019/20; or more than 300 days in the years of assessment 2018/19 and 2019/20 or the years of assessment 2019/20 and 2020/21. He was not considered as a temporary resident of Hong Kong.

Mr Lo resided and worked in Hong Kong. He was ordinarily resident in Hong Kong for the year of assessment 2019/20.

Mr Johnson and Mr Lo were married taxpayers not living apart. Mr Johnson could elect for personal assessment only if he and Mr Lo elected for personal assessment jointly under s.41(1A) of the IRO. Mr Lo could elect for personal assessment on his own under s.41(1) or jointly with Mr Johnson under s.41(1A) of the IRO.

Answer 5(b)

	Mr Lo \$	Mr Johnson \$	Total \$
Salaries (\$735,000 + \$18,000)	753,000	-	
Net assessable value (Less 20% statutory deduction)			
Bella Building (\$16,000 x 7 x 80%)	-	89,600	
Charlotte Court (\$20,000 x 7 x 80%)	-	112,000	
Less: Mortgage interest			
Bella Building (\$17,000 x 7) – note 1	-	(89,600)	
Charlotte Court (\$14,000 x 7)	-	(98,000)	
Less:			
Concessionary deductions			
Home loan interest (\$7,000 x 6) – note 2	(42,000)	-	
Approved charitable donation – note 3	(3,000)	-	
Contribution to MPF	<u>(18,000)</u>	-	
	690,000	14,000	
Less:			
Current year business loss (\$80,000 - \$3,000) – note 3	<u>(77,000)</u>	-	
Reduced total income	<u>613,000</u>	<u>14,000</u>	
Combined reduced total income			627,000
Less:			
Married person's allowance			264,000
Dependent parent's allowance			50,000
Disabled dependent allowance			<u>75,000</u>
Net chargeable income			<u>238,000</u>
Tax payable			22,460
Net tax payable (after 100% tax reduction of \$20,000)			2,460

Note 1: Limited to the new assessable value of Bella Building

Note 2: No deduction of home loan interest in respect of Amber Residence for the period from 1 October 2019 to 31 March 2020 was allowed since Amber Residence was not used as Mr Lo's residence for the period from 1 October 2019 to 31 March 2020.

Note 3: Since there were no assessable profits from Mr Lo's sole proprietorship business, the approved charitable donations were deductible under personal assessment.

Note 4: Tax at progressive rates:

Net chargeable income	Rate	Tax \$
On the first \$50,000	2%	1,000
On the next \$50,000	6%	3,000
On the next \$50,000	10%	5,000
On the next \$50,000	14%	7,000
Balance \$38,000	17%	<u>6,460</u>
		<u>22,460</u>

Answer 6

To: JC Trading Inc
From: xxxxxxxxxx
Date: xx/xx/xxxx
Subject: Profits Tax implications of your company in Hong Kong

This memo serves to advise whether your company in Hong Kong is liable to Profits Tax in Hong Kong.

S.14(1) of the IRO provides that profits tax is chargeable on the profits arising in or derived from Hong Kong from carrying on a trade, profession or business in Hong Kong. According to s.50AAC(5) and ss.4(1) and 4(2)(b) of Schedule 17G of the IRO, an enterprise that is a non-DTA territory resident person has a permanent establishment in Hong Kong if it has a fixed place of business, including a branch, Hong Kong through which the business of the enterprise is wholly or partly carried on. Ss.4(5)(2) and 4(5)(3) of Schedule 17G of the IRO provides that the maintenance of a fixed place of business solely for the purpose of collecting information; and in relation to the business of the enterprise as a whole, the activity is of a preparatory or auxiliary character is not regarded as having a permanent establishment in Hong Kong.

Your company is incorporated in the United States. There is no double taxation agreement concluded between Hong Kong and the United States. Your company had a fixed place of business in the form of a branch. However, your branch in Hong Kong at first only collected information on potential customers and set up roadshow to build brand awareness. The activities were of a preparatory or auxiliary character. Your company was not regarded as having a permanent establishment in Hong Kong and it was not subject to Profits Tax in Hong Kong.

Two years later, Ms Morrison, as the agent, habitually concluded contracts on behalf of your company. Thus, your company maintained a permanent establishment in Hong Kong and was regarded as carrying on a trade, profession or business in Hong Kong under s.50AAK(1) of the IRO. The profits derived from trading with Hong Kong clients were subject to Profits Tax under s14 of the IRO.

Answer 7

- (i) Mr Wong made a late application for the housing benefit and did not submit evidence of the actual rental payment to KT & Co. There was no sufficient control exercised by KT & Co. The monthly payment of \$20,000 paid to Mr Wong was not a refund of rent. It was a cash allowance fully chargeable to salaries tax under s.9(1)(a) of the IRO.
- (ii) The medical expenses paid by KT & Co to Good Health Clinic were in discharge of KT & Co's primary liability and the payments were not convertible to cash to Mr Wong. The medical expenses of \$6,800 were not chargeable to Salaries tax under s.9(1)(a)(iv) of the IRO.
- (iii) On the authority of *David Hardy Glynn v CIR (1990)* 3 HKTC 245, perquisite includes money that is paid in charge of a debt of an employee. It was Mr Wong's personal liability to pay the annual pass of Strong Fitness. The reimbursement of the annual pass in the amount of \$10,000 by KT & Co constituted a perquisite and was chargeable to Salaries Tax under s.9(1)(a) of the IRO.
- (iv) In line with DIPN No. 9 (Revised), the allowance of \$4,500 for covering Mr Wong's work-related expenses when he worked away from Hong Kong was not assessable to salaries tax.
- (v) The travelling expenses of \$2,000 between home and office were private in nature. The reimbursement of the private expenses by KT & Co constituted a perquisite and was chargeable to Salaries Tax under s.9(1)(a) of the IRO. On the other hand, on the authority of *CIR v Humphrey (1970)* HKTC 451, the travelling expenses between home and office were not incurred in the production of assessable income/ in the performance of duties of employment and thus were not allowed for deduction under s.12(1)(a) of the IRO.

Answer 8(a)

S.14(1) of the IRO provides that profits tax is chargeable on the profits arising in or derived from Hong Kong from carrying on a trade, profession or business in Hong Kong (excluding profits arising from the sale of capital assets). S.15BA(2) of the IRO provides that where an asset used to be trading stock and is at any time appropriated by the taxpayer for a non-trade purpose, in calculating the profits of the taxpayer from that trade the amount of the trading stock so appropriated is treated as having been sold at open market value. The taxable receipt is treated as arising in the year of assessment in which the appropriation takes place. S.16(1) of the IRO provides that in ascertaining the profits in respect of which a person is chargeable to tax for any year of assessment, there shall be deducted all outgoings and expenses to the extent to which they are incurred during the basis period for that year of assessment by such person in the production of profits in respect of which he is chargeable to profits tax.

At first, K&K Limited intended to acquire and redevelop the Site to residential flats for sale. The Site was a trading stock of K&K Limited. On 31 December 2017, K&K Limited changed its intention to redevelop the Site to serviced apartments for rental income and the Site became a capital asset of K&K Limited. Since K&K Limited had a change of intention in respect of the Site from trading to capital, the Site was deemed to be sold at open market value on 31 December 2017 and there was a deemed taxable receipt to K&K Limited for its appropriation of trading stock for long-term investment purpose [*Sharkey v Wernher* and s.15BA(2) of the IRO]. The construction cost for the period from 1 January 2017 to 31 December 2017 was incurred in the production of K&K Limited's chargeable profits and thus deductible under s.16(1) of the IRO.

The rental income from the serviced apartments arose from K&K Limited's ordinary course of business in Hong Kong and was thus taxable under s.14(1) of the IRO. The expenses for operating the serviced apartment were incurred in the production of K&K Limited's chargeable profits and thus deductible under s.16(1) of the IRO. On 1 September 2018, K&K Limited sold the two buildings in District A to its subsidiary. However, the gain on such disposal was capital in nature and was not taxable.

Answer 8(b)

The assessable profits in respect of the redevelopment project in District A for the years of assessment 2017/18 and 2018/19 are computed as follows:

Year of assessment 2017/18

For the year ended 31 December 2017	\$
Deemed sale proceeds [s.15BA(2)]	400,000,000
Less: Acquisition cost	(210,000,000)
Less: Construction cost (\$250,000x12)	(3,000,000)
Assessable Profits	<u>187,000,000</u>

Year of assessment 2018/19

For the year ended 31 December 2018	\$
Rental income (\$4,000,000 x 2)	8,000,000
Less: Operation expense (\$500,000 x 2)	(1,000,000)
Assessable Profits	<u>7,000,000</u>

* * * END OF EXAMINATION PAPER * * *